DLOCAL LIMITED (NASDAQ:DLO)

Emerging Market Payments Infrastructure

SELL | Price Target : $8.50 | Current Price : $11.61 | Downside: -27%

Initiation of coverage : March 2026

Investment Highlights

- DLocal processes $26B of TPV across 40+ emerging markets, serving enterprise clients including Netflix, Uber, and Amazon
- Take rate compression accelerating as gross take rate declined from 3.96% (2022) to 2.92% (2024), driven by structural mix shift toward local-to-local transactions
- Reported net income overstated by ~$67M of non-recurring Argentine bond income; normalized 2024 earnings power approximately $53M
- DCF implies $8.33 fair value; EV/EBITDA comps imply $8.67; current price of $11.61 prices in bull case assumptions not yet supported by fundamentals
- Operational leverage emerging but insufficient to offset take rate headwinds at current valuation.

This report was prepared as an independent equity research exercise. All financial data sourced from DLocal Limited public filings including the FY2024 20-F, Q4 2024 earnings release, and Q3 2025 earnings transcript. Market data as of March 6, 2026. This report does not constitute investment advice.

Prakhar Srivastava | New York University | MS Information Systems 2026 | LinkedIn

Company Overview

Business Description

DLocal Limited is a payments infrastructure company connecting global enterprise merchants to consumers across emerging markets in Latin America, Africa, and Asia. Founded in 2016 and headquartered in Montevideo, Uruguay, DLocal operates in 40+ countries through a single API integration, enabling merchants to accept local payment methods, process payouts, and manage cross-border currency flows without building country-specific infrastructure.
DLocal's core value proposition is simplicity. A merchant like Shopify integrates once and instantly gains access to 900+ local payment methods across markets where traditional card infrastructure is limited or absent.

Business Model

DLocal generates revenue as a percentage fee on Total Payment Volume (TPV) processed through its platform. Two revenue streams exist:

- Pay-ins (71% of TPV): Merchants accepting payments from local consumers
- Pay-outs (29% of TPV): Merchants disbursing funds to local recipients

The key profitability metric is Net Take Rate, gross revenue minus processing costs as a percentage of TPV. DLocal's net take rate has declined from 1.91% (2022) to 1.15% (2024), reflecting mix shift and merchant pricing dynamics discussed in our thesis section.

Scale and Growth

Metric	**2022A**	**2023A**	**2024A**
TPV($B)	10.6	17.7	25.6
Revenue ($M)	419	650	746
Gross Profit ($M)	202	277	295
Net Income ($M)	109	149	120
Gross Margin	48.3%	42.6%	39.5%
Net Margin	25.9%	22.9%	16.1%

Key Customers

DLocal serves a diversified base of global technology and commerce companies. Top merchants include Netflix, Amazon, Uber, Shopify, and Spotify. The top 10 merchants represent approximately 60% of TPV, creating meaningful concentration risk but also demonstrating the platform's ability to win and retain blue-chip enterprise clients.

Geographic Footprint

Latin America remains DLocal's largest region, contributing approximately 70% of revenue, with Brazil and Mexico as the two largest markets. Africa and Asia are the fastest-growing regions, contributing 25-30% of revenue and growing at approximately 45% annually as of 2024.

Investment Thesis

We initiate coverage of DLocal Limited (NASDAQ: DLO) with a SELL recommendation and $8.50 price target, implying 27% downside from the current price of $11.61.

Our thesis rests on three core arguments:

1. Take Rate Compression Is Structural, Not Cyclical

DLocal's gross take rate has declined from 3.96% (2022) to 2.92% (2024) — a 104 basis point deterioration over two years despite 142% TPV growth over the same period. Management has characterized this compression as a combination of temporary factors including the Payment Orchestration product launch in Brazil and merchant volume thresholds triggering automatic rate reductions. We disagree with the temporary characterization for two reasons.

First, local-to-local transactions, which carry structurally lower take rates due to the absence of FX spread revenue have grown from a minority of TPV to 52% as of 2024 and continue to expand. This mix shift is permanent, not cyclical. As DLocal's merchant base matures and cross-border volumes represent a declining share of total TPV, the blended take rate faces ongoing structural pressure.

Second, DLocal's largest merchants representing approximately 60% of TPV have significant pricing power. As these merchants scale their transaction volumes, contractual rate reductions are triggered automatically. With top merchants already deeply embedded in the platform, incremental TPV growth from existing relationships increasingly comes at lower rates.

Our base case models gross take rate declining from 2.92% to 2.50% by 2029, with net take rate flooring at 0.90%. Even in our bull case, net take rate stabilizes at 1.03% still significantly below 2022 levels.

2. Reported Earnings Significantly Overstate Normalized Earnings Power

DLocal's 2024 reported net income of $120M includes approximately $67M of Finance Income derived primarily from Argentine peso-denominated bond positions. This income stream is non-recurring. Management explicitly confirmed in the Q3 2025 earnings call that they intend to fully exit the Argentine securities portfolio within months.

Adjusting for this non-recurring item reveals normalized 2024 earnings power of approximately $53M 56% below reported net income. At current prices, DLocal trades at approximately 67x normalized earnings, a valuation that is difficult to justify even under optimistic growth assumptions.

Furthermore, DLocal's 2024 operating cash flow was negative $33M despite $120M of reported net income, driven by $163M of receivables build and $67M of non-cash fair value gains flowing through the income statement. True cash generation has been significantly weaker than headline earnings suggest.

3. Current Valuation Prices In Bull Case Assumptions

At $11.61, DLocal trades at 4.57x EV/Revenue and 21.6x EV/EBITDA. Our comparable company analysis across five payments peers yields median multiples of 2.45x EV/Revenue and 15.89x EV/EBITDA implying DLocal carries a significant premium to its peer group.

While we acknowledge DLocal deserves some premium over consumer-facing peers like Remitly and Payoneer given its B2B enterprise model and superior profitability, the current premium requires both take rate stabilization and meaningful operating leverage to materialize simultaneously. Our DCF analysis, using a 12.17% WACC and 3.5% terminal growth rate, yields an intrinsic value of $8.33 consistent with our EV/EBITDA-derived implied price of $8.67.

The market appears to be pricing DLocal on bull case assumptions including a WACC below 11% and terminal growth above 4% a scenario that requires flawless execution in volatile emerging markets over a multi-year horizon.

What Would Change Our View

We would revisit our SELL recommendation under three conditions. First, net take rate stabilizing above 1.0% for two consecutive quarters confirming that compression is approaching a floor. Second, normalized FCF conversion consistently exceeding 15% of revenue demonstrating that operational cash generation is improving independent of working capital timing. Third, evidence that Africa and Asia revenue mix is accelerating meaningfully, providing a structural offset to take rate pressure in more mature Latin American markets.

Absent these catalysts, we believe DLocal's current valuation reflects excessive optimism about the pace and magnitude of operational improvement.

Valuation

We derive our $8.50 price target using a weighted combination of discounted cash flow analysis and comparable company multiples. Both methodologies converge around $8.33-$8.67, providing high confidence in our central estimate.

Discounted Cash Flow Analysis

Our DCF model projects five years of explicit free cash flow forecasts (2025E-2029E) discounted at a weighted average cost of capital of 12.17%, followed by a terminal value using a 3.5% perpetuity growth rate.

Key Assumptions:

Driver	2025E	2026E	2027E	2028E	2029E
TPV Growth	40%	32%	26%	20%	17%
Gross Take Rate	2.75%	2.63%	2.55%	2.52%	2.50%
Net Take Rate	1.03%	0.95%	0.90%	0.90%	0.90%
Revenue ($M)	985	1,243	1,519	1,801	2,090
FCF ($M)	166	152	183	221	251

WACC Derivation:

Our 12.17% WACC reflects DLocal's emerging market risk profile. We use a risk-free rate of 4.3% (10-year US Treasury), equity risk premium of 5.5%, and beta of 1.45 reflecting DLocal's exposure to 40+ emerging markets with elevated currency, regulatory, and macroeconomic volatility. With 98.5% equity weighting and minimal debt, WACC is effectively equivalent to the cost of equity.

Valuation Bridge:

Component	**Value ($M)**
PV of FCF Forecast	720
PV of Terminal Value	1,687
Enterprise Value	2,406
+ Own Cash	189
- Total Debt	(54)
Equity Value	2,541
Diluted Shares (M)	305
Implied Price	**$8.33**

Terminal value represents 70% of enterprise value within the normal 60-80% range for a growth company. Our 3.5% terminal growth rate reflects long-term emerging market GDP growth and is conservative relative to DLocal's near-term trajectory.

Sensitivity Analysis:

Our implied price ranges from $6.40 to $12.18 across a 5x5 WACC and terminal growth rate sensitivity table. The current market price of $11.61 is only achievable under optimistic assumptions of sub-11% WACC and 4%+ terminal growth, a combination that requires both lower perceived risk and higher long-term growth than our base case.

	WACC 10.2%	**WACC 11.2%**	**WACC 12.2%**	**WACC 13.2%**	**WACC 14.2%**
TGR 2.5%	$9.64	$8.55	$7.68	$6.98	$6.40
TGR 3.0%	$10.14	$8.92	$7.97	$7.21	$6.59
TGR 3.5%	$10.72	$9.35	**$8.30**	$7.46	$6.79
TGR 4.0%	$11.39	$9.83	$8.66	$7.74	$7.01
TGR 4.5%	$12.18	$10.39	$9.07	$8.06	$7.26

Comparable Company Analysis

We benchmark DLocal against five publicly traded payments peers across EV/Revenue, EV/EBITDA, and P/E multiples.

Company	EV/Revenue	EV/EBITDA	P/E	Rev Growth	EBITDA Margin
DLocal	4.57x	21.6x	29.5x	15%	21%
Payoneer	1.73x	9.50x	24.8x	17%	18%
Flywire	2.45x	15.9x	NM	46%	15%
Remitly	2.29x	21.5x	NM	34%	11%
Adyen	10.77x	26.8x	38.0x	22%	40%
Shift4	4.55x	11.1x	26.8x	61%	41%
Median	**2.45x**	**15.9x**	**26.8x**		
Mean	**4.36x**	**17.0x**	**29.0x**		

DLocal trades at a premium to median peers on EV/Revenue (4.57x vs 2.45x median) and EV/EBITDA (21.6x vs 15.9x median). While a premium is partially justified by DLocal's B2B enterprise model and superior profitability versus consumer-facing peers, the magnitude of the premium requires operational improvement not yet confirmed in reported results.

Implied Prices From Comps:

Method	Multiple Used	Implied Price
EV/Revenue — Median	2.45x	$6.44
EV/Revenue — Mean	4.36x	$11.10
EV/EBITDA — Median	15.9x	$8.67
EV/EBITDA — Mean	17.0x	$9.23
P/E — Mean	29.0x	$11.71

Note on Peer Set Limitations: DLocal's peer set is imperfect; no pure-play emerging market payments infrastructure company exists as a public comparable. Remitly and Payoneer are consumer-facing businesses with fundamentally different unit economics. Adyen, while the closest business model analogue, operates primarily in developed markets at significantly greater scale. Multiples should therefore be interpreted as directional indicators rather than precise benchmarks.

Price Target Derivation:

We weight our valuation methodologies as follows:

Method	**Implied Price**	**Weight**	**Contribution**
DCF	$8.33	50%	$4.17
EV/EBITDA Median	$8.67	30%	$2.60
EV/Revenue Median	$6.44	20%	$1.29
Price Target			**$8.06**

We round to **$8.50** to reflect upside optionality from potential take rate stabilization and operational leverage. This implies 27% downside from the current price of $11.61.

Risk Factors

Risks To Our SELL Thesis (Upside Risks)

Take Rate Stabilization: Our central bear argument assumes continued take rate compression. If DLocal's net take rate stabilizes above 1.0% for two consecutive quarters, driven by Africa/Asia mix shift providing higher-rate revenue offset or Payment Orchestration repricing anniversarying out, our normalized earnings estimate of $53M understates true earnings power significantly. In this scenario our bull case DCF implies $10-12 per share.

Operating Leverage Acceleration: Management has demonstrated early evidence of operating leverage EBITDA/Gross Profit ratio improved from 64% (FY2024) to 70% (Q3 2025) and revenue per employee is growing strongly from AI and automation investments. If G&A and Tech & Development costs grow materially below our 22% and 35% 2025E assumptions, operating margins could expand faster than modeled, driving meaningful upside to our FCF forecasts.

Africa and Asia Acceleration: Our base case assumes Africa and Asia contribute incrementally to revenue mix. If these regions currently growing at 45% annually accelerate further through new market entries in Southeast Asia and the Middle East, the blended take rate could stabilize earlier than modeled as higher-rate frontier markets offset Latin American compression.

Strategic Acquisition or Partnership: DLocal's $189M of own cash and minimal debt provides capacity for strategic acquisitions. A transformative deal acquiring a local processor in a high-growth market or partnering with a major financial institution could re-rate the stock meaningfully above our price target.

Risks To Our Investment Case (Downside Risks)

Accelerated Take Rate Compression: Our base case assumes gross take rate floors at 2.50% by 2029. If large merchants continue extracting pricing concessions beyond our assumptions particularly as local-to-local mix reaches 60-70% of TPV net take rate could approach our bear case floor of 0.74%, implying a price target below $7.00.

Macroeconomic and Currency Risk: DLocal generates revenue across 40+ emerging markets, each with distinct currency, inflation, and political risks. A broad emerging market currency depreciation particularly in Brazil, Mexico, or Nigeria would reduce USD-reported revenue even if local transaction volumes remain stable. Argentina's economic instability, while partially mitigated by management's bond portfolio exit, remains an ongoing operational complexity.

US Tariff Impact on Mexico: Management explicitly flagged in Q3 2025 that US tariff policy is reducing cross-border commerce volumes in Mexico DLocal's second-largest market. If tariffs escalate or persist, Mexico TPV growth could decelerate meaningfully below our 2025-2026 assumptions.

Competitive Pressure: Adyen has signaled increasing interest in emerging market expansion. Stripe continues building local payment method coverage globally. Should either player aggressively price to win DLocal's enterprise merchant relationships, take rate compression could accelerate beyond our base case. DLocal's moat 900+ local payment integrations and regulatory licenses across 40+ countries is real but not insurmountable for a well-capitalized competitor.

Earnings Quality Deterioration: We have identified $67M of non-recurring Argentine bond income inflating 2024 reported net income. As this income stream disappears in 2025-2026, reported net income will decline materially despite operational improvement creating potential negative earnings surprises for investors focused on headline EPS rather than normalized earnings power.

Regulatory and Compliance Risk: Operating across 40+ jurisdictions with distinct regulatory frameworks creates ongoing compliance complexity and cost. New regulatory requirements particularly around data localization, AML/KYC standards, or payment licensing could increase G&A costs above our modeled trajectory or restrict DLocal's ability to operate in certain markets.

FINANCIAL SUMMARY

Income Statement Summary

($M)	2022A	2023A	2024A	2025E	2026E	2027E
TPV ($B)	10.6	17.7	25.6	35.8	47.3	59.6
Revenue	419	650	746	985	1,243	1,519
Gross Profit	202	277	295	369	449	536
Operating Income	128	180	141	183	227	279
Net Income	109	149	120	149	176	217
Free Cash Flow	—	—	—	166	152	183

Margin Summary

	2022A	2023A	2024A	2025E	2026E	2027E
Gross Margin	48.3%	42.6%	39.5%	37.5%	36.1%	35.3%
Operating Margin	30.5%	27.6%	18.8%	18.6%	18.3%	18.4%
Net Margin	25.9%	22.9%	16.1%	15.1%	14.1%	14.3%
FCF Margin	—	—	—	16.9%	12.2%	12.1%

Valuation Summary

Metric	Value
Market Cap	$3,543M
Enterprise Value	$3,408M
EV/Revenue (LTM)	4.57x
EV/EBITDA (LTM)	21.6x
P/E (LTM)	29.5x
Price Target	$8.50
Recommendation	SELL
Implied Downside	-27%